RECOMMENDATION | ANTHROPIC, PBC INITIAL PUBLIC OFFERING

Participate at 1.0% of NAV, capped at 2.0%: growth is strong but only one quarter is profitable, and an illustrative bear case that loses 74% holds the size to a 75bp loss budget

The ask

1.0%
of NAV: our order for Class A shares in the IPO (proposed ticker ANT)

2.0%
of NAV: the ceiling, reached only if the add conditions on page 6 hold

The committee is asked to approve

1. The 1.0% order, priced at no more than an illustrative $1.0tn equity value, about the $998bn implied by the last private round.
2. The 2.0% ceiling and the add, hold and trim levels on page 6.
3. A re-run of pages 5 and 6 when the amended S-1 sets a price range and fills the blanks listed on page 6.

Why these sizes

A bear case may cost at most 75bp of NAV at the start (1.0% x 74% = 74bp at $1.0tn) and 150bp once the add conditions hold (2.0% x 74% = 148bp).

The price limit keeps that budget: above about $1.05tn a 1.0% order breaks it. At $1.25tn the bear case loses 79%, so 1.0% would cost 79bp, and the probability-weighted return falls to a loss of about 3% a year.

The S-1 sets no price range. Every valuation, probability, threshold and loss budget in this deck is an illustrative assumption of Marlow (a fictional fund), not a figure from the filing.

What the S-1 shows

As filed, except * : Marlow's arithmetic on S-1 figures (the S-1 states neither gross margin nor the $637.0bn total).

Metric	Reading	S-1 section
Revenue, Q2'26	$11.6bn, +1,368% y/y	Quarterly Results
Operating income, Q2'26	$974m; adjusted margin 19%	Quarterly Results
Gross margin, H1'26 *	85.4% (2025: 39.5%)	Notes (opex detail)
Operating cash flow, H1'26	$3.9bn	MD&A: Liquidity
Cash, short-term investments	$131.7bn at 30 Jun 2026	Summary Financial Data
Net loss, H1'26	$80.7bn; 90% * fair-value change	Summary Financial Data
Compute, % of revenue	48% in Q2'26 (Q1'25: 251%)	Quarterly Results
Customers above $100k TTM	>11,900 (>950 a year earlier)	MD&A: Key Factors
Net Revenue Retention	About 900% at 30 Sep 2026	MD&A: Key Factors
Top five customers' share *	21% of Q3'26 revenue (Q1'26: 36%)	MD&A: Key Factors
Revenue, Q3'26 *	Blank; over about $16.6bn implied	Business
Compute commitments *	$637.0bn to 2036: minimums, maxima and rent added	MD&A: Liquidity
Class A share of votes	At most 49.9%	Prospectus Summary

Scenarios at an illustrative $1.0tn entry

Marlow assumptions, to end-2029; detail on page 5. Bear case in red.

Scenario	Probability (%)	Multiple (x)	Return (% a year)
Bear	30	0.26	(36)
Base	50	1.38	11
Bull	20	3.21	48
Probability-weighted	**100**	**1.41**	**4**

The weighted return averages the three annual returns by probability; 1.41x annualised over three years would read 12%, which is not a weighted return.

Why participate

- Q2'26 revenue was $11.6bn ($46.2bn annualised as Q2'26 x4, Marlow's figure, not the S-1's Run-Rate Revenue); H1'26 operating cash flow was $3.9bn.
- Q2'26 was the first quarter of operating profit in the periods presented: $974m, a 19% adjusted margin.
- Adoption is broadening: the top five customers fell from 36% to 21% of quarterly revenue between Q1'26 and Q3'26.

Why only 1.0%

- $637.0bn of compute commitments to seven counterparties run to 2036 (Marlow's sum of minimums, maxima and rent); $430.6bn is owed regardless of usage, or is lease rent (page 3).
- Q2'26 is the only quarter of operating profit, and the S-1 expects margins may compress as new compute comes online.
- Public holders cannot elect the board majority or change control (page 4).
- The illustrative bear case loses 74% of entry value, and the probability-weighted return is only about 4% a year.

What would change our mind

- A price above $1.0tn equity value: at $1.25tn the base case returns only 1.10x.
- Q3'26 revenue, blank in the S-1, below the about $16.6bn implied by TTM revenue per employee (over $6.6m x about 5,300 staff = about $35.0bn).
- Any loosening of the trust's independence before pricing.

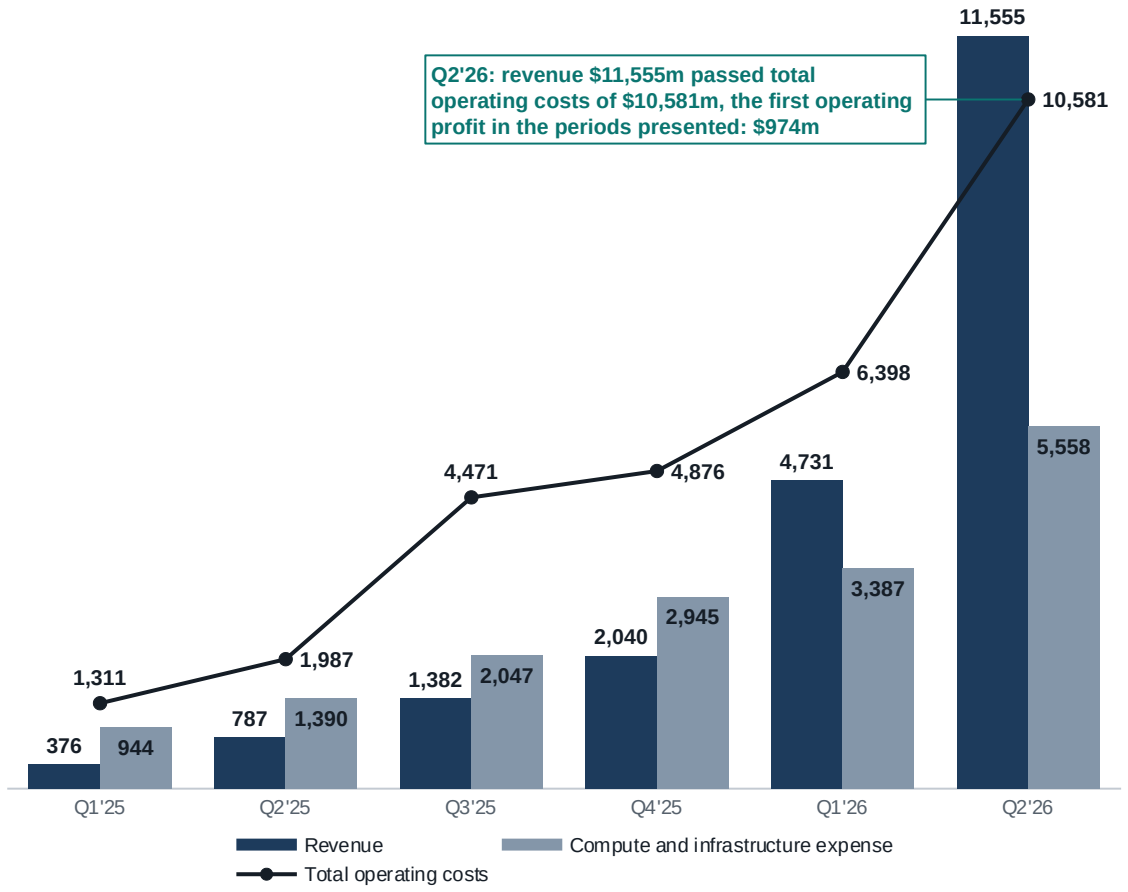
Source: Anthropic, PBC Form S-1 filed 26 October 2026: Prospectus Summary; Summary Consolidated Financial and Other Data; MD&A; Business; Notes. Rows marked *, totals, ratios and scenarios: Marlow.

WHAT THE S-1 SHOWS | GROWTH, MARGINS AND CASH

Revenue rose from $376m to $11.6bn a quarter over six reported quarters and passed total operating costs in Q2'26; gross margin was 85.4% in H1'26

Quarterly revenue against compute expense and total operating costs

$m, three months ended. Compute fell from 251% to 48% of revenue; the line is total operating costs.



Financial summary

Years ended 31 December and six months ended 30 June; H1'26 in bold.

	2023	2024	2025	H1'25	H1'26
Revenue ($m)	41	386	4,585	1,163	**16,286**
Revenue growth (%)	n/a	841	1,088	n/a	**1,300**
Gross margin (%)	36.6	(94.8)	39.5	12.4	**85.4**
Operating margin, GAAP (%)	(1,344)	(772)	(176)	(184)	**(4)**
Adjusted operating margin (%)	(1,273)	(722)	(106)	(159)	**10**
Operating cash flow ($m)	(1,627)	(5,692)	(2,637)	(1,513)	**3,929**
Net loss ($m)	(1,531)	(8,309)	(41,965)	(12,969)	**(80,748)**
of which: fair-value change ($m)	*(1,045)*	*(5,434)*	*(34,308)*	*(10,942)*	***(72,388)***

Gross margin: revenue less cost of revenue, over revenue. Adjusted operating margin is the filing's own non-GAAP measure. The change in fair value of convertible notes, derivatives and SAFEs is non-cash, driven by the rising valuation, and 90% of the H1'26 net loss.

Quarterly margins

	Q1'25	Q2'25	Q3'25	Q4'25	Q1'26	Q2'26
Operating margin, GAAP (%)	(249)	(152)	(224)	(139)	(35)	**8**
Adjusted operating margin (%)	(221)	(129)	(93)	(84)	(13)	**19**

Customers and revenue model

At or for years ended 31 December; the latest column gives its own period in each cell.

	2023	2024	2025	Latest
Customers above $100k TTM	~20	~200	~1,500	>11,900 (30 Sep 2026)
Their revenue ($m)	~37	~220	~3,500	blank (TTM to Sep 2026)
Their share of revenue (%)	90	57	76	blank (TTM to Sep 2026)
Consumption-based share of revenue (%)	~100	75	83	80 (H1'26)

Net Revenue Retention about 900% at 30 Sep 2026. 'Blank': the S-1 leaves the figure empty.

Source: Anthropic, PBC Form S-1 filed 26 October 2026: Summary Consolidated Financial and Other Data; MD&A (Quarterly Results of Operations, Key Factors, Liquidity and Capital Resources); Note: Supplemental Operating Expense Information. Growth, gross margin and the 90% share: Marlow.

THE TEN RISKS THAT MATTER MOST

Five of the ten risks are high for us; the largest is $637.0bn of named compute commitments to 2036, $430.6bn of it minimum spend owed regardless of usage, or lease rent

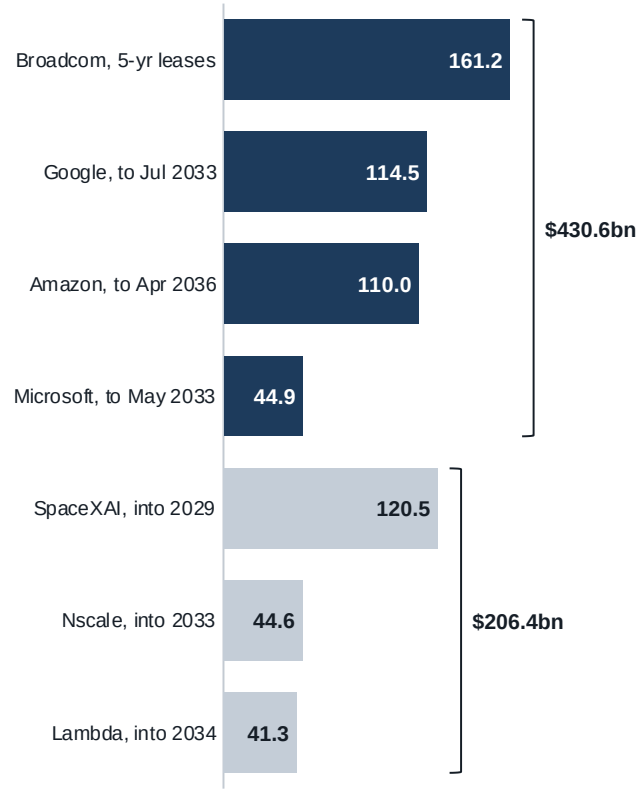
Ten risks, ranked by Marlow, with the evidence in the filing

Severity is Marlow's judgement for a long-only holder.

#	Risk	Evidence in the S-1	Mitigant in the S-1	S-1 section	Severity
1	**Compute commitments outrun revenue**	$637.0bn with seven counterparties to 2036, Marlow's sum: 13.8x annualised Q2'26 revenue (multi-year vs one year)	Nscale and Lambda fees accrue only on delivery; SpaceXAI cancellable on 90 days' notice from 2027; $131.7bn cash	MD&A: Contractual Obligations	**High**
2	**Margins compress as capacity lands**	The S-1 says margins may compress as compute comes online and short-term compute use rises	Compute fell from 251% to 48% of revenue over six reported quarters	MD&A: Our Financial Model	**High**
3	**Growth slows from an early-adoption peak**	Net Revenue Retention about 900%; the company expects its growth rate to decline, possibly significantly	Public Fortune 500 customers above $100k TTM: on average under 0.1% of their expenses (Q3'26)	MD&A: Key Factors	**High**
4	**Revenue rides the newest model**	Model versions released in the prior six months were over 80% of Q3'26 revenue	250 model versions, features and apps launched in 9M'26	MD&A: Customer Usage Patterns; Key Factors	**High**
5	**Control sits outside public holders**	Class F holds 50.1% of votes; the trust generally elects the board majority; Class A at most 49.9%	Audit and compensation committees fully independent; Class F sunset	Our Governance Structure	**High**
6	**Customer concentration**	Top five about 25% of 9M'26 revenue; one customer 11% of H1'26 revenue; many lack long-term contracts	Top five share fell from 36% (Q1'26) to 21% (Q3'26)	Risk Factors; Note: Concentrations	Medium
7	**Revenue from policy-violating customers**	Estimated at 5% to 7% of 9M'26 revenue	Detection and enforcement stepped up in Aug-Sep 2026	MD&A: Components of Results	Medium
8	**Suppliers are also investors and rivals**	Google, Amazon and Microsoft supply compute, invest and compete; Google's ownership cap is 14.99%	Four chip families across several partners	Risk Factors (Amazon, Google, Microsoft); Convertible Notes	Medium
9	**Dilution by design**	5% of fully diluted shares to the Public Benefit Fund; up to 2% more per 50% price rise; H1'26 SBC $2.2bn	Further issuances are at the board's discretion	Prospectus Summary; Summary Data	Medium
10	**Copyright and harm liability**	Bartz copyright class action settled for $1.5bn in 2025; insurance may not fully cover such claims	Settlement approved by the court in July 2026	Risk Factors: Legal and Regulatory	Medium

Named compute commitments: $637.0bn

$bn, multi-year contract totals, not annual costs, of different kinds added by Marlow. Navy: minimum spend owed 'regardless of actual usage', or lease rent; grey: capacity fees, 'up to' or approximate totals.



Microsoft: cancellable per undelivered tranche; Nscale and Lambda only in limited circumstances. Broadcom excludes interest. Excluded: more TPU compute from TPU providers, Google among them, est. $125.0bn to $150.0bn; AMD, over $20.0bn.

Source: Anthropic, PBC Form S-1 filed 26 October 2026: Risk Factors; MD&A (Our Financial Model, Key Factors, Customer Usage Patterns, Components of Results, Contractual Obligations); Notes. Totals, ratios and grouping: Marlow.

GOVERNANCE | PUBLIC BENEFIT CORPORATION, SHARE CLASSES, TRUST AND FOUNDER VOTE

Public Class A holders get the economics but at most 49.9% of the votes, and the trust, as sole Class T holder, generally elects the board majority

Five share classes after the offering

Class A, the class offered and the one Marlow would hold, in bold.

Class	Held by	Votes	Economics	Board election
Class A	**Public and existing holders**	**1 per share; at most 49.9% in total**	**Full, pro rata**	**Non-Class T directors, with Class F**
Class N	Mainly strategic partners	None, unless law requires	Full, pro rata	None; converts to A on sale to a third party
Class T	Long-Term Benefit Trust (one share)	Only on its listed matters	None	Class T directors: the board majority
Class F	Founder LLC of the seven founders (one share)	50.1% of all votes	None	Non-Class T directors, with Class A
Class E	Employees, founders excluded	Limited matters only	None	The Specified Class T Director, only if the nominating committee does not concur

A public benefit corporation

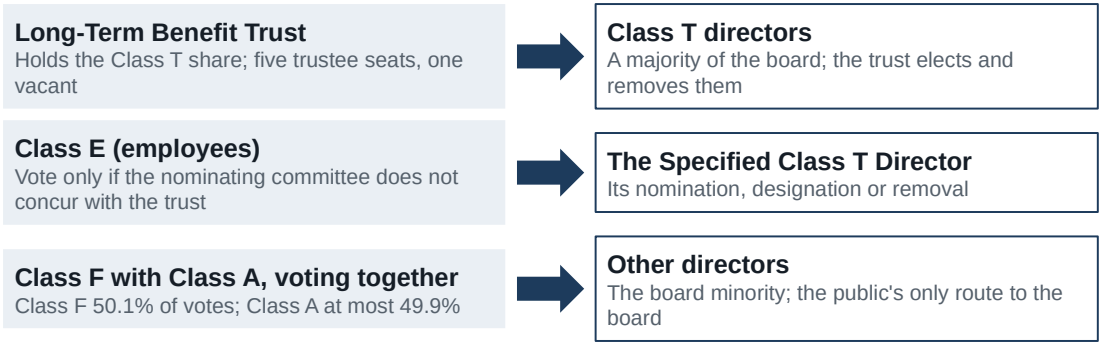
As a Delaware public benefit corporation the board must balance stockholders' pecuniary interests, those materially affected by the company, and its purpose: the responsible development and maintenance of advanced AI for the long-term benefit of humanity. Judicial precedent on that balance is limited.

What it means for Marlow

- We buy economics without control: the Founder LLC's fixed 50.1% decides matters put to stockholders generally.
- A merger or sale of substantially all assets also needs the board's approval, and the trust elects the board majority: no bid succeeds without trust-elected directors.
- Changing the trust needs 80% of the board and of the trustees, or founder, employee and Class A approval; 85% of Class A once Class F is gone.
- Sunset: Class F and E are redeemed 450 days after fewer than three Continuing Founders remain for 90 days.
- Controlled company: the exemption is used only for the nominating committee; audit and compensation committees are fully independent.

Who elects the board

Each arrow runs from the holders who vote to the seats their vote decides.



The trustees

Financially disinterested: barred from directly buying or holding the stock; paid $400,000 a year each.

Trustee	Since	Background
Dr. Neil “Buddy” Shah (Chair)	June 2023	CEO, Clinton Health Access Initiative
Richard Fontaine	April 2025	CEO, Center for a New American Security
Ben S. Bernanke	June 2026	Former Chairman, Federal Reserve
Christopher Stubbs	October 2026	Professor of Physics, Harvard
Fifth seat	Vacant	Not yet filled

Public benefit commitments that cost holders

Commitment	In the S-1
Initial Public Benefit Issuance	846,840,960 Class N shares, 5% of fully diluted shares
Further issuances	Up to 2% of shares per 50% share-price rise, at the board's discretion
Donation matching expense	$541m in 2025, about 4% of operating expenses
Co-founder pledge	80% of each co-founder's equity to philanthropy

Source: Anthropic, PBC Form S-1 filed 26 October 2026: Prospectus Summary (Our Capital Structure, Controlled Company Status); Our Governance Structure and Its Goals; Description of Capital Stock.

SCENARIOS | BULL, BASE AND BEAR, ASSUMPTIONS LABELLED

At an illustrative $1.0tn entry the bear case loses 74% of the entry value, and the three scenarios' annual returns, weighted by probability, average only about 4% a year

Scenarios to end-2029, from an illustrative $1.0tn entry

Assumption rows are illustrative Marlow inputs, not S-1 figures; derived rows are computed from them and the S-1.

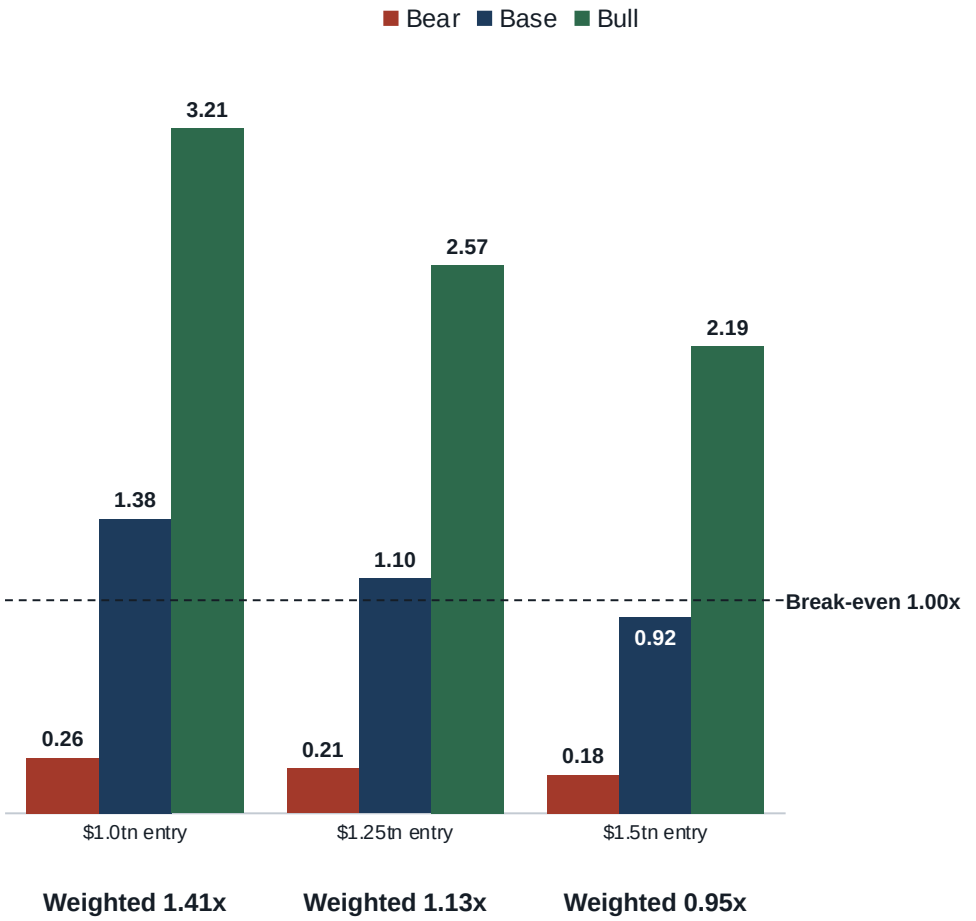
	Basis	Bear	Base	Bull
What has to be true	*Assumption*	Rivals match the frontier, customers optimise spend, fixed compute caps margins	Growth slows every year from a high base while margins rise with scale	Agentic products keep the frontier lead; customers keep expanding spend
Probability (%)	*Assumption*	30	50	20
2029 revenue ($bn)	*Assumption*	70	180	350
Value / 2029 revenue (x)	*Assumption*	4.0	8.0	10.0
Equity-award dilution (% a year)	*Assumption*	2.0	1.5	1.5
Implied revenue growth (% a year)	Derived	15	57	96
2029 value ($bn)	Derived	280	1,440	3,500
Public benefit issuances triggered	Derived	0	0	2
Total dilution (%)	Derived	5.9	4.4	8.2
Multiple of entry value (x)	Derived	**0.26**	**1.38**	**3.21**
Annual return (%)	Derived	**(36)**	11	**48**

Weighted by Marlow's probabilities the three annual returns average about 4% a year; the weighted multiple, 1.41x, would annualise to 12%, but returns do not average that way. At $1.25tn the base case falls to 1.10x and the weighted return to a loss of about 3% a year.

Implied growth runs from annualised Q2'26 revenue (Q2'26 x4 = $46.2bn, Marlow's figure, not the S-1's Run-Rate Revenue). Net cash is assumed spent on the compute build-out.
Dilution adds 2% per Public Benefit Issuance, made each time the share price rises 50% above the prior milestone, starting at the IPO price. Prices are taken after all dilution, so Bull passes 1.5x and 2.25x but not the third milestone, 3.375x.
Entry anchor: Series H paid $589.0095 a preferred share, with its conversion rate adjusted for the 10-for-1 split of the common: $58.90 a common share x 16.94bn fully diluted shares = $998bn, if the Amazon notes convert in full. Probabilities are Marlow's judgement, tilted to the bear side because the S-1 expects its growth rate to decline, possibly significantly; no peer or market data.

What the entry price does to each outcome

Multiple of entry value at end-2029 (x), at three illustrative entry values; the probability-weighted multiple under each, a summary, not a fourth scenario



Source: Anthropic, PBC Form S-1 filed 26 October 2026: MD&A: Quarterly Results of Operations; Prospectus Summary (Public Benefit Issuances); Description of Capital Stock. All other inputs are illustrative Marlow assumptions; outputs computed by Marlow.

RECOMMENDATION | SIZING LOGIC AND CONDITIONS

Start at 1.0% of NAV, the most a 74% bear-case loss allows within a 75bp loss budget; add up to 2.0%, where a bear case costs 148bp, only if the conditions hold

How the size follows from the bear case

Both loss budgets are Marlow's (fictional) risk rules; the two sizes and the price limit in teal.

#	Step	Value
1	Starting loss budget: the most a bear case may cost the fund (Marlow rule)	75bp of NAV
2	Bear-case loss at an illustrative $1.0tn entry	74%
3	Largest starting size: 75bp / 74%	1.01% of NAV
4	**Starting size, rounded down; a bear case costs 74bp**	**1.0% of NAV**
5	Loss budget once the add conditions hold (Marlow rule)	150bp of NAV
6	**Ceiling: 150bp / 74% = 2.03%, rounded down; a bear case costs 148bp**	**2.0% of NAV**
7	**Price limit: above about $1.05tn a 1.0% order costs over 75bp (79bp at $1.25tn)**	**$1.0tn**

We size to the bear case, not the weighted 1.41x. The larger budget applies only after the conditions below show the bear case becoming less likely: at 2.0% a bear case costs 148bp, twice the starting budget. Adds, like the order, are made at or below $1.0tn.

Before we order: blanks the amended S-1 must fill

This first filing leaves these figures blank; each one can move the size or the price limit.

Blank in this S-1	Where	Why it matters to the order
Price range and shares offered	Cover page; The Offering	Sets our entry value, assumed here at $1.0tn
Revenue for Q3'26	Prospectus Summary	Should exceed the about $16.6bn its revenue per employee implies
Run-Rate Revenue at 31 Oct 2026	Business	The filing's own annualised measure; we use Q2'26 x4
Total committed spend; 12-month part	MD&A: Compute Investments	Our $637.0bn adds minimums, maxima and rent of seven names
Contractual payments due by year	MD&A: Contractual Obligations	The annual cash claim of the commitments
Liquidity at 30 Sep 2026	MD&A: Compute Investments	Cash against the next year of commitments
Share of fully diluted shares under lock-up	Underwriting	Stock that can be sold when the lock-up ends
Amazon notes converting at the offering	The Offering	Class N shares issued to a supplier and investor
Pro forma cash, after RSU tax payments	Summary Balance Sheet Data	Cash left after the offering for the build-out

Conditions to add to 2.0%, hold, or trim

Each condition reads an S-1 metric; the levels are illustrative Marlow assumptions. We add only when every add condition holds and trim on any trim condition.

Condition	S-1 metric	Today	Add if	Hold while	Trim if
Margins hold as capacity lands	Adjusted operating margin, each quarter	19% in Q2'26	Positive in both quarters after SpaceXAI capacity is fully delivered	Positive, before full delivery	Negative for two quarters running
Adoption stays broad	Top five customers' share of quarterly revenue	21% in Q3'26	25% or less	25% to 36%	Above 36%, the Q1'26 level
Commitments stay covered	Named commitments / annualised quarterly revenue (multi-year vs one year)	13.8x	Falling	Flat	Rising above 13.8x
Price stays sane	Equity value when we buy	None; $1.0tn assumed	At or below $1.0tn	$1.0tn to $1.5tn, no buying	Above $1.5tn (base 0.92x)
Oversight stays independent	Trust seats filled, terms unchanged	1 of 5 seats vacant	Vacancy filled	Seat vacant, terms unchanged	Trust terms weakened

SpaceXAI capacity: about $3.1bn a month once fully delivered, expected December 2026 (MD&A: Contractual Obligations).

Source: Anthropic, PBC Form S-1 filed 26 October 2026: Cover page; The Offering; Business; Underwriting; Summary Financial Data; MD&A (Key Factors, Liquidity and Capital Resources); Our Governance Structure. Budgets, entry value, price limit and levels: Marlow assumptions.